The process of steady reduction of import tariffs or customs duty has been reversed from 2015. Import tariffs on about one-third of tariff lines have been raised in the past five years.

One instrument of controlling imports, however, kept moving in the opposite direction during the first forty years. India's currency was kept overvalued, making imports cheaper and neutralizing the impact of high tariffs to a great extent. Importing cheap foreign goods and avoiding customs duty became a cottage industry as a consequence.

A severe import licencing regime coupled with high tariff walls shielded the public sector and domestic private industry from foreign competition. Availability of captive and protected markets made both the public and private sectors produce shoddy goods. Aided and abetted by the strangulating licence raj system of discouraging expansion of manufacturing capacities, the restrictions on imports led to severe supply disruptions, making Indians wait even for simple products like a telephone, scooter and steel for years. Secured domestic markets for substandard products at high prices generating profits made the Indian industry totally inward-looking. The Indian industry could not and did not try to enter export markets even though demand was expanding phenomenally in developed countries.

India's policy stance in the forty years until 1991 for trading with the world has been described as an import substitution regime. The country opted to encourage production of all industrial goods in the country and keep away the threat of imports. It also opted to give up potential exports to substitute imports with domestically produced goods. This was the policy of 'self-reliance'.

India learnt the consequences of pursuing this emotionally appealing but economically devastating policy at a heavy cost. The crisis of 1991, when the country was on the brink of defaulting its international obligations, was